

AUDIT INVESTIGATION REPORT

Investigation No. INV-00027 | Type: Vendor Risk Assessment

Investigation ID:	INV-00027
Investigation Type:	Vendor Risk Assessment
Status:	COMPLETED
Trigger Source:	Whistleblower hotline report
Lead Investigator:	Brandon George (EMP-16786)
Subject Employee:	Jenny Brown (EMP-44608)
Related Vendor:	XcelPath Networks Inc (VND-01612)
Related Transaction:	TXN-C1509645626
Scope Period:	2021-08-19 to 2023-04-13
Created Date:	2024-10-25
Completed Date:	2025-01-10
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Are there expense claims approved by the submitting employee (self-approval)?"

2. BACKGROUND

This investigation was initiated following a whistleblower hotline report relating to activity associated with employee Jenny Brown (EMP-44608) and vendor XcelPath Networks Inc (VND-01612). The investigation scope covers the period 2021-08-19 to 2023-04-13 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C1509645626 (amount 6,639.72 USD, risk score 0.32). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-002713	CRITICAL	FRAUD PATTERN	Employee EMP-10995 submitted 2 expense claims within 72 hours for identical amounts — potential duplicate fraud pattern.
FND-001263	MEDIUM	VENDOR RISK	BLACKLISTED vendor VND-VND-04208 received payment of \$214,925 via contract CON-103948 that was not updated following blacklisting.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a critical risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Vendor placed under enhanced monitoring with quarterly compliance re-checks.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Brandon George	EMP-16786	2025-01-10